AFRICAN SOLIDARITY CIVIC ORGANISATION (ASCO)

Registered NPC: 2026/521895/08 | Tax Reference: 9322812265
SARS PBO Exemption: 930092287 | Section 18A Approved
49 Rif Road, Manor Gardens

Durban, KwaZulu-Natal

4001

info@africansolidaritycivic.org | www.africansolidaritycivic.org

DONATION ACCOUNTING AND RECONCILIATION PROCEDURE

Document Control	Details
Document title	Donation Accounting and Reconciliation Procedure
Document number / reference	ASCO-DON-PROC-008-2026
Version	1.0
Effective date	12 October 2026
Approval authority	ASCO Board of Directors
Approved by	To be completed in the Board approval register
Review date	16 September 2027
Document status	Final — adoption-ready
Owner / responsible function	Executive Director / finance function; Finance and Procurement Committee review

ASCO is a South African Non-Profit Company registered under CIPC number 2026/521895/08, with SARS income tax reference 9322812265, and its public address at 49 Rif Road, Manor Gardens, Durban, KwaZulu-Natal, 4001. ASCO is an approved Public Benefit Organisation (SARS PBO Reference No. 930092287). ASCO is approved to issue Section 18A tax-deductible donation receipts effective 9 October 2026, subject to the Income Tax Act, SARS requirements and ASCO's receipt-control procedures. Receipts may be issued only for qualifying donations used solely for ASCO's approved Section 18A public benefit activities.

Updated: 27 October 2026 — SARS PBO and Section 18A approval status harmonised from the approval letter dated 26 October 2026.

The Board governs; Executive Management manages. The Founder/Founding Chairperson, Ms Busisiwe Makhosi Shandu, provides institutional oversight and does not sign, approve, initiate, co-authorise or control ASCO financial documents or transactions. Operational financial authority rests within the Board-approved delegation framework, including the Executive Director, Finance and Procurement Committee and authorised financial signatories.

1. Control Objective

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Every donation must move through the controlled sequence: Donation received → Documented → Registered → Verified → Accounted for → Allocated → Reconciled → Acknowledged → Reported.

2. Segregation of Duties

Activity	Primary responsibility	Independent review
Receive / identify payment	Gift Administrator or Executive Director	Finance review
Register donation	Gift Administrator	Executive Director
Approve restrictions or high-risk terms	Executive Director / Committee / Board	Board reporting
Record accounting entry	Finance function	Executive Director / Committee
Reconcile bank and register	Finance function	Executive Director and quarterly Committee
Issue acknowledgement	Gift Administrator	Executive Director or delegate

3. Monthly Workflow

1. Obtain bank, payment processor, cash and in-kind receipt reports.
2. Match each item to a donation reference and source document.
3. Investigate unidentified payments and duplicate or missing entries.
4. Confirm restrictions, project codes and accounting classifications.
5. Reconcile Donation Register totals to accounting and bank/payment records.
6. Document differences, responsible officer, corrective action and closure.
7. Prepare a monthly donation and exception report for the Executive Director.
8. Submit quarterly summaries to the Finance and Procurement Committee and material matters to the Board.

4. Cash, Online and In-Kind Controls

- Cash is discouraged; two persons count and sign a cash count sheet, and cash is deposited promptly.
- Online and EFT receipts are matched to payment references and donor information where available.
- In-kind goods/services require receipt description, condition, quantity and valuation evidence where material; no unsupported value is recorded.

- Donated services are not converted into a tax receipt or financial value unless properly assessed under applicable accounting rules.

5. Discrepancies, Refunds and Rejected Donations

Unresolved differences are recorded in an exception log and escalated to the Executive Director. Material discrepancies, suspected fraud, unlawful payments or conflicts are reported to the Finance and Procurement Committee and Board, and to competent authorities where required. Refunds and rejected donations follow the Donations and Refunds Policy and preserve a complete payment trail.

6. Records

Maintain register extracts, bank/payment reports, accounting entries, acknowledgements, agreements, approvals, reconciliation sign-offs, exception logs and refund records with controlled access and retention.

7. References

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Approval and Adoption

This document is complete and adoption-ready. It becomes an approved ASCO operational instrument when adopted through a properly recorded Board resolution or approval register entry. No approval, meeting or signature is represented as having occurred by this document alone.

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CHAIR LADY **Ms. Busisiwe Makhosi Shandu** Signature: _____ Date: **2 October 2026**	**DIRECTOR: HEAD OF ICT AND COMMUNICATIONS** **Mr. Thapelo Nelson Maqalika** Signature: _____ Date: **2 October 2026**
EXECUTIVE DIRECTOR **Mr. Bhekisisa Shandu** Signature: _____ Date: **2 October 2026**	**DIRECTOR: PEOPLE AND CULTURE / CHAIRPERSON: FINANCE AND PROCUREMENT COMMITTEE** **Mr. Khulekani Gumede** Signature: _____ Date: **2 October 2026**